

Individual Project: Financial Statement Analysis

Objective

To evaluate the financial performance and health of a publicly listed company using ratio analysis, time series analysis, and cross-sectional comparison.

Project Requirements

Each student must:

1. Select one publicly listed company

- The company must have **publicly available annual financial statements** (at least 3–5 recent years).
- Financial statements should include:
 - Statement of Financial Position
 - Income Statement
 - Cash Flow Statement
- Properly cite the source (annual report, company website, stock exchange, etc.).

Company Overview (Compulsory – At the Beginning of the Report)

Start your report with a brief overview of the selected company. Include:

- Name of the company
- Industry and sector
- Main products or services
- Market position (if available)
- Recent major developments (if relevant)
- Source of financial statements

This section should be concise (approximately 1 page). It should provide context before moving to financial analysis.

Part 1: Ratio Calculations

Calculate the following categories of ratios:

1. Liquidity Ratios

- Current Ratio
- Quick Ratio

2. Activity (Efficiency) Ratios

- Inventory Turnover
- Receivables Turnover
- Total Asset Turnover

3. Debt (Leverage) Ratios

- Debt-to-Equity Ratio
- Debt Ratio

4. Coverage Ratios

- Interest Coverage Ratio

5. Profitability Ratios

- Gross Profit Margin
- Operating profit margin
- Net Profit Margin
- Return on Assets (ROA)
- Return on Equity (ROE)
- Return on capital employed (ROCE)

(All calculations must be clearly shown in tables.)

Part 2: Time Series Analysis

- Analyze trends of all major ratios for **at least 3–5 years**.
- Identify:
 - Increasing or decreasing trends
 - Stability or volatility
 - Significant fluctuations and possible reasons

Part 3: Cross-Sectional Analysis

- Select **one competitor from the same industry**.
- Compare key ratios of your selected company with the competitor for the most recent year.
- Comment on relative strengths and weaknesses.

Part 4: Interpretation and Conclusion

Students must:

- Interpret each category of ratios (do not only calculate).

- Discuss relationships (e.g., leverage and profitability, liquidity and risk).
- Provide an overall assessment of:
 - Liquidity position
 - Solvency
 - Efficiency
 - Profitability
 - Overall financial health

Conclusion should be analytical, not descriptive.

Presentation Requirement

- **5-minute individual presentation**
- Scheduled in **Week 14**
- Slides should include:
 - Company overview (1 slide)
 - Ratio summary tables
 - Trend graphs (recommended)
 - Cross-sectional comparison
 - Final conclusion

Students must focus on key findings, not formulas, during the presentation.

Submission Guidelines

- Submit:
 - Written report (properly formatted, typed)
 - Excel file with calculations
 - Presentation slides
- Plagiarism will result in zero marks.
- Late submissions will not be entertained.